



Dynamics 365

Project management and accounting

Fixed price project

Finance posting visualization by the T-account format



Project - WIP cost	
160500-WIP - Other	
Debit	Credit

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Milestone billing vs Progress billing ?

Project billing rules are set up under [Project Contract > Billing Rule](#).

There are two common billing types in fixed-price projects: milestone billing and progress billing.

- **Milestone Billing:** Define the billing schedule for each phase and update the contract status accordingly. Invoice amounts are generated based on the completion of each milestone.
- **Progress Billing:** There are two options for calculating progress billing amounts
 1. **Auto Billing Amount:** Based on predefined **chargeable categories** and **selected projects** in the billing rule of the related project contract.
 2. **Manual Input:** Enter the percentage of completion for billing manually.

Milestone

000026 : Milestone billing | Standard view

Billing rules

Project contract ID	Billing rule	Line type	Description
000334	000026	Milestone	Milestone billing

Billing rule line details

Milestone

+ New Delete View details

	Project date	Description	Project ID	Sales currency	Sales price
☐	5/26/2024	Milestone 1	000387	USD	200.00
☐	5/27/2024	Milestone 2	000387	USD	300.00

Project contracts | Standard view

000334 : Forest Wholesales

Update milestone status

	Mark as compl...	Project date	Description	Project ID	Sales price	Invoice status
☐	☒	5/26/2024	Milestone 1	000387	200.00	Fully invoiced
☐	☒	5/26/2024	Milestone 2	000387	300.00	Chargeable

Progress: Manual input

000027 : Progress | Standard view

Billing rules

Project contract ID	Billing rule	Line type	Description
000334	000027	Progress	Progress

Billing rule line details

Quantity	Contract value	Category
0.00	100.00	

Revenue recognition | 000387 : Fixed price project - Completed contract - Forest

Standard view

Filter ☐ Include reversed **EstMonthly**

Period code Estimate date

Overview General Profit and loss WIP Consumption Hour rate Totals

	Revenue re...	Revenue status	Percentage complete	Recalculation	Revenue project
☐	5/31/2024	Posted	50.00	✓	000387

Finance and Operations Preview | Project management and accounting > Projects > All projects

Update units delivered **Update percentage** **Update percentage complete**

Contract status | 000030 : Progress

Standard view

Project contract ID

Percent invoiced	Percent to bill
0.00	40



Continue: Progress billing ?



Progress: Auto Billing Amount

Auto Billing Amount: Based on predefined chargeable categories and selected projects in the billing rule of the related project contract.

Finance and Operations Preview | Project management and accounting > Projects > All projects

000031 : Progress | Standard view

Billing rules

Project contract ID: 000337 | Billing rule: 000031 | Line type: Progress | Description: Progress

Billing rule line details

Project

Chargeable categories

Show available projects: Active | Show selected projects: Active

AVAILABLE PROJECTS

Project ID	Project name
000390	FP_CompP - C

SELECTED PROJECTS

Project ID	Project name
000390	FP_CompP - C

Billing rules setup for project / category

000031 : Progress | Standard view

GENERAL

Project contract	Contract name	Billing rule	Project	Project name
000337	Contoso Retail San Diego	000031	000390	FP_CompP - Contoso Retail S

Categories

AVAILABLE CATEGORIES

SELECTED CATEGORIES

Category	Category name	Transaction type
Journeyman	Journeyman	Hour
Maintenance hours	Maintenance hours	Hour
Maintenance items	Maintenance items	Item
Projitem	Project Items	Item
Setup	Project Setup Fee	Fee
Subscript	Subscription Fee	Fee
Travel	Other travel costs	Expense

Update percentage button is disable

Create invoice proposal

Select all | Clear all

Select	Project contract	Billing rule ...	Billing rule type	Descript...	Billing rule value	Invoice ...	Am
☐	000337	000031	Progress	Progress	2,000.00	1,666.67	

Update units delivered | **Update percentage** | Update milestone status | Review bill

Contract status: 000031 : Progress

Standard view * |

Project contract ID: 000337

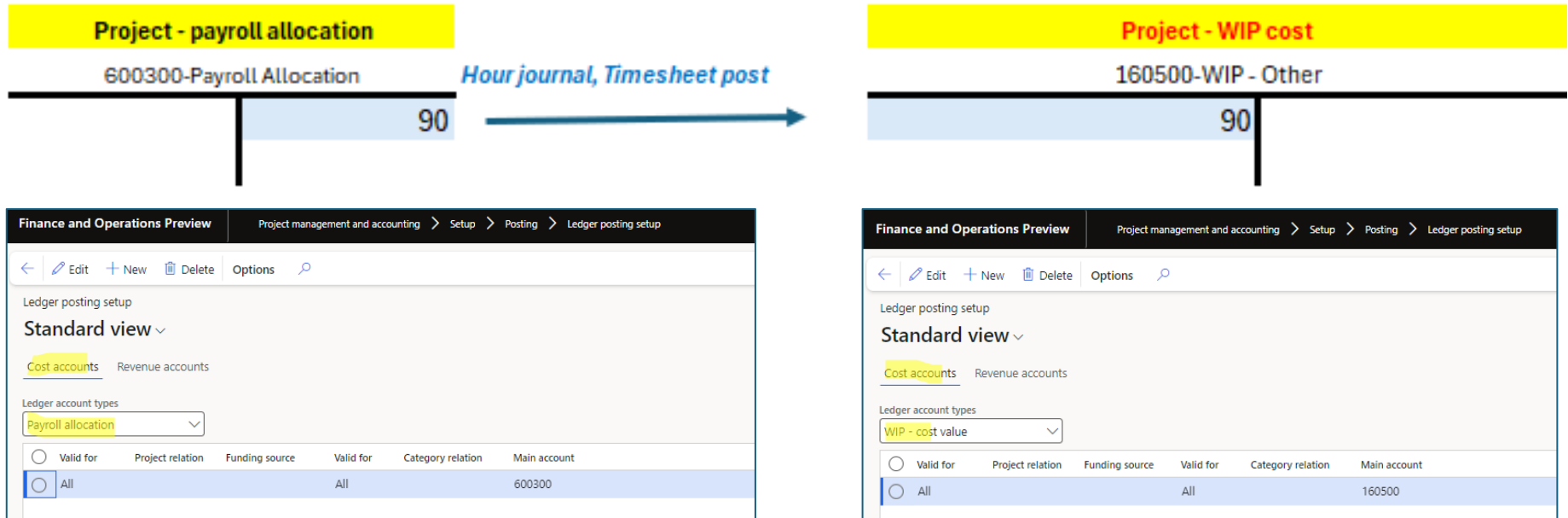
☐ Include future invoices

Amounts

Billing rule	Descript...	Line type	Value	Invoiced	Customer retail...
000031	Progress	Progress	2,000.00	0.00	0.00

Ledger posting setup

Ledger setup



Project management and accounting support flexible posting. To simplify the initial setup, I manage all configurations in the Ledger Posting Setup for project transactions.

→ This approach allows for straightforward posting, making testing and gaining experience easier.

1. Fixed price project – No WIP

Ledger setup

Standard view ▾

Project groups

Project group: Name:

Post costs - hour: ▾

Post costs - expense: ▾

Post costs - item: ▾

On-account invoicing:

Accrue revenue - hour: ☐ No

Accrue revenue - expense: ☐ No

Estimate

FIXED-PRICE

Revenue recognition accounting rule:

Calculation method:

Matching principle:

REVENUE RECOGNITION

Cost template: ▾

Period code: ▾

SET UP CATEGORIES FOR ESTIMATE

Sales value:

Finance and Operations Preview

Project management and accounting > Projects > All projects USMF

← ≡ Save + New Delete Project Plan **Manage** Control Options

New Service Case Process Bill

Item task Invoice proposal Project quotation Adjust transactions Revenue recognition Accrue revenue Post costs Post service orders Index subscription Project invoice proposals Invoice journals On-account transactions Customer advance Request retained amount Item ta Pending Posted

Projects | Standard view ▾

000386 : Fixed price project – No WIP_Contoso Retail San Di

Fixed-price | FP | US-001 | 5/26/2024 | --

General

PROJECT

Project ID:

Project name:

Project type:

Project group:

Project stage:

CUSTOMER

Project contract ID: ▾

RESPONSIBLE

Sales manager:

Project manager:

Project controller:

Actual start date:

Projected end date:

Extension date:

Actual end date:

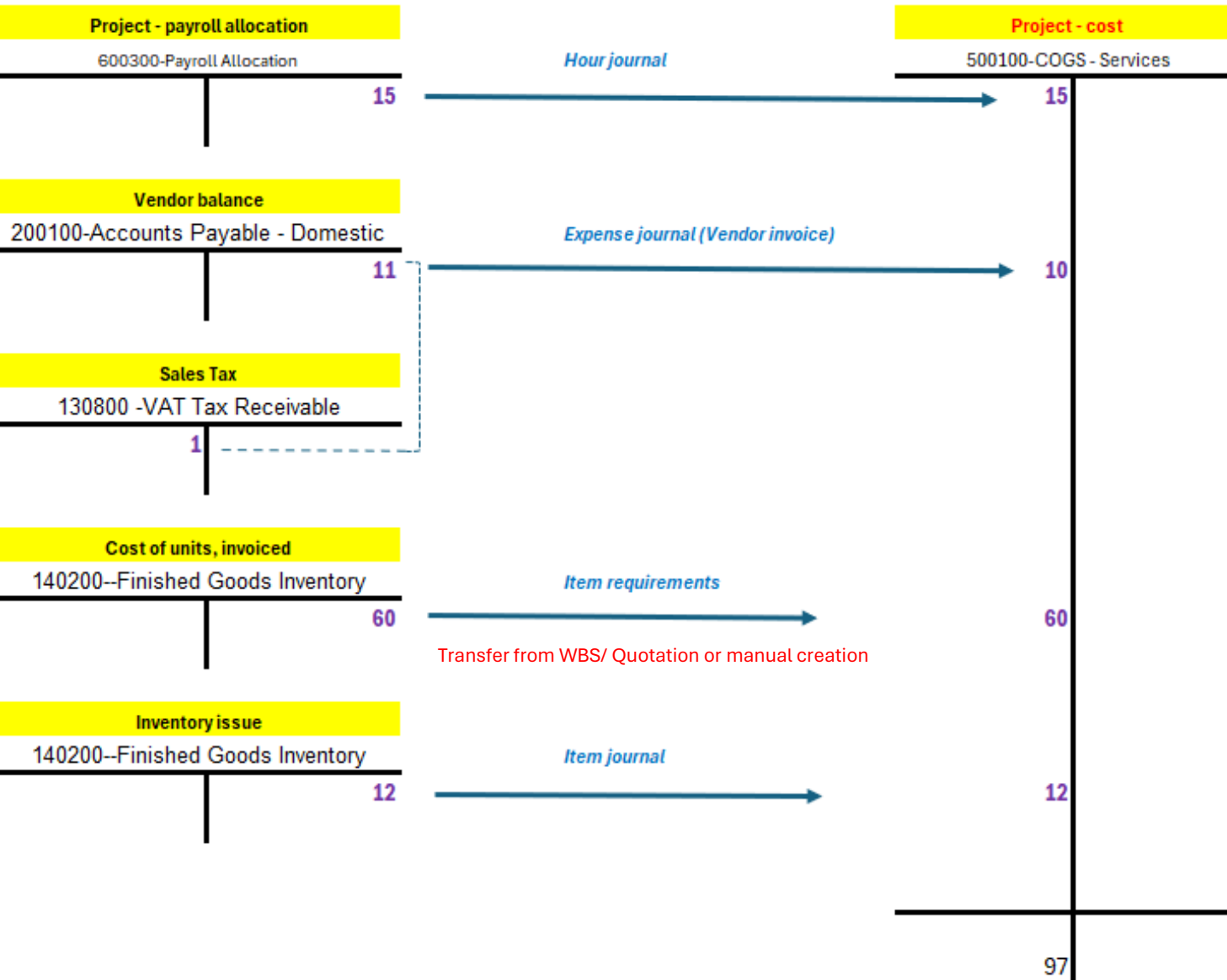
INTEGRATION

Integration source:

For projects with **No WIP**, the Revenue Recognition button is disabled. All costs are posted directly to the Profit and Loss account.

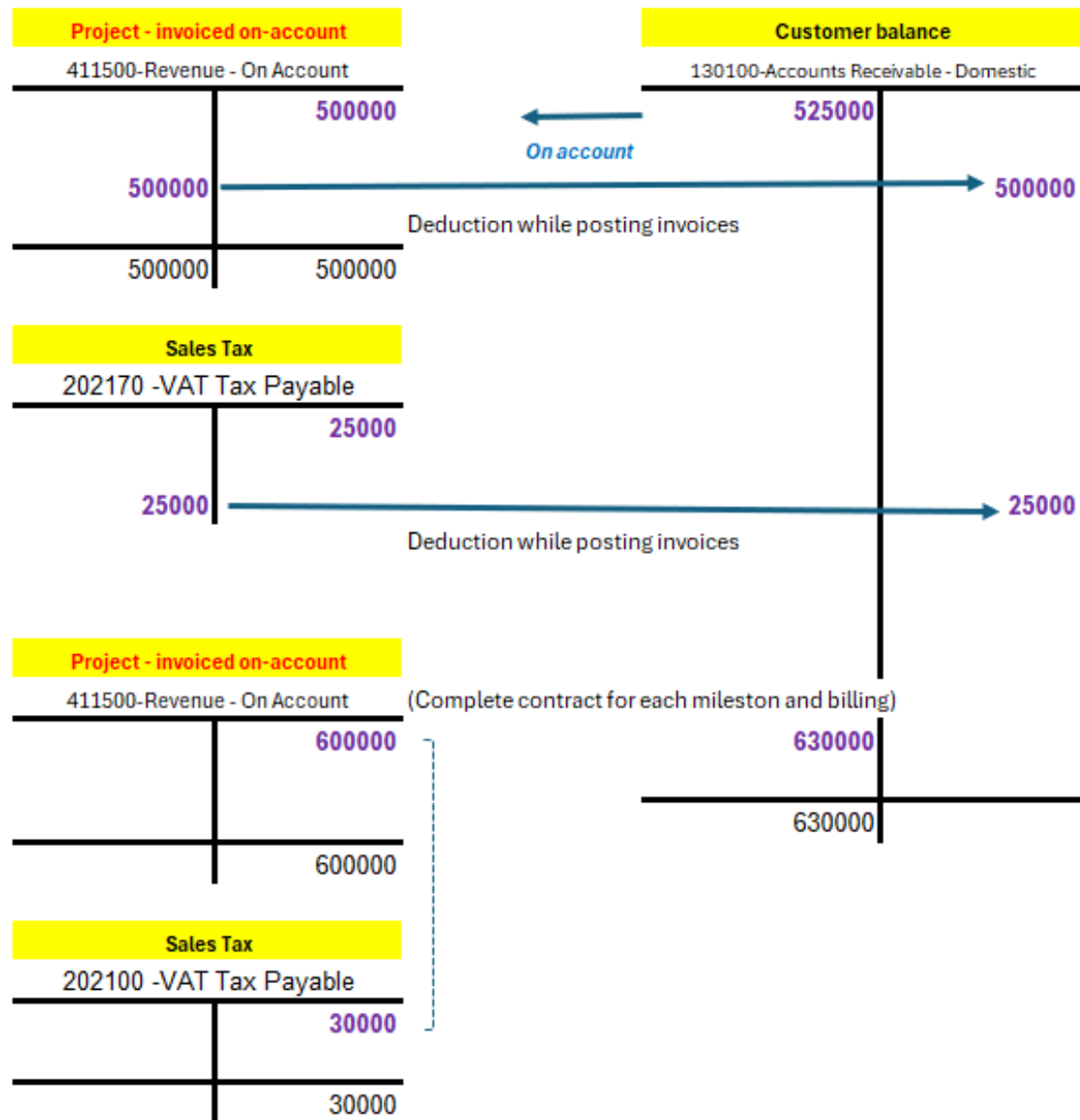
1. Fixed price project – No WIP

Cost posting



1. Fixed price project – No WIP

On account invoicing – Invoice proposal posting



“Fixed Price Project – No WIP” is similar to “Time and Material- No WIP- No accrual”.

- No revenue recognition is required.
- On-account invoicing functions the same way as in Time and Material , recorded as prepayment invoices.

>> The main difference is that in Fixed Price Project – No WIP scenarios, you can post invoices based on milestone billing.

2. Fixed price project – Completed contract - WIP

Ledger setup

Project groups

Project group Name
FP_CompC Fixed price - Completed contract

General

Project type Line property
Fixed-price Project

Ledger posting search priority Default line
Category

Not able turn on auto accrual revenue as Time and material project

Ledger

Post costs - hour On-account invoicing
Balance Balance

Post costs - expense
Balance

Post costs - item
Balance

Accrue revenue - hour
No

Accrue revenue - fee
No

Accrue revenue - item
No

Accrue revenue - expense
No

Estimate

FIXED-PRICE

Revenue recognition accounting rule
Completed contract

Calculation method
(None)

Matching principle
Sales value

REVENUE RECOGNITION

Cost template
AutoAmnt

Period code
EstMonthly

SET UP CATEGORIES FOR ESTIMATE

Cost, revenue recognition is recorded by the time project is “Eliminated” (meaning project must be **completed**)

Condition to Eliminate Fixed price project

- Percentage complete is 100

- All billings... are posted

>> Once these conditions are satisfied, the project is considered a **completed contract**, and **cost and revenue can be recognized** by posting **Eliminated**

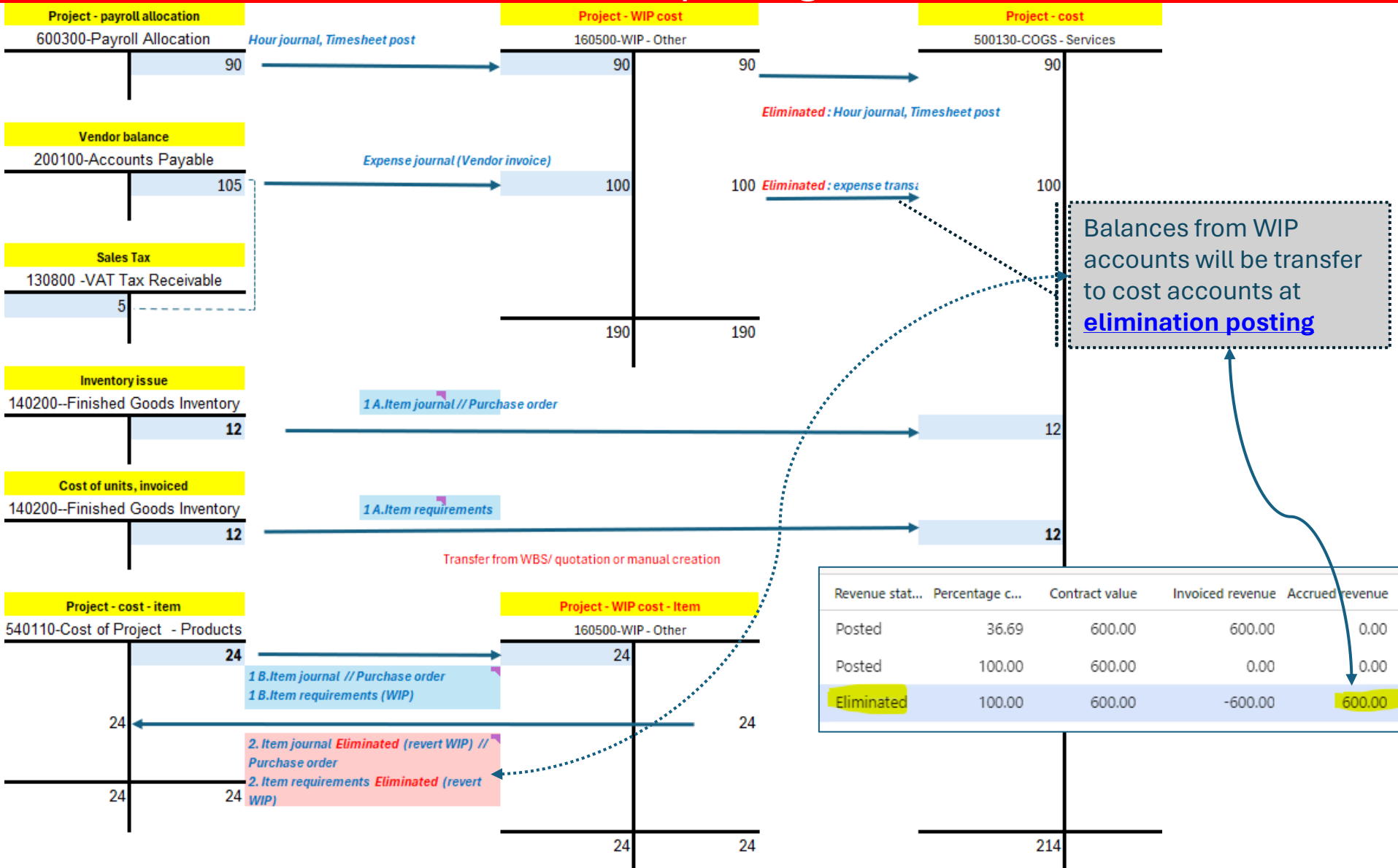


Don't forget to execute elimination

Finance and Operations Preview									
Project management and accounting > Projects > All projects									
Revenue recognition 000389 : FP_CompC									
Standard view * v									
Filter									
Revenue re...	Revenue status	Percentage c...	Recalcula...	Revenue project	Description	Contract value	Accrued re...	Total cost	Gross margin
6/30/2024	Eliminated	100.00	✓	000389	FP_CompC	600.00	600.00	0.00	64.33
Overview General Profit and loss WIP Consumption Hour rate Totals									
Revenue re...	Revenue status	Percentage comp...	Recalcula...	Revenue project	Description	Contract value	Accrued revenue	Total cost	Gross margin
5/31/2024	Posted	36.69	✓	000389	FP_CompC	600.00	0.00	124.00	0.00
6/30/2024	Posted	100.00	✓	000389	FP_CompC	600.00	0.00	90.00	0.00

2. Fixed price project – Completed contract - WIP

Cost posting



2. Fixed price project – Completed contract - WIP

Revenue recognition

Users can select the method for D365 to automatically calculate the completed percentage of the project or manually update the completed percentage.

Finance and Operations Preview | Project management and accounting > Projects > All projects

Navigation: < | Edit | + New | Delete | Project | Plan | **Manage** | Control | Options

New

- Item task
- Invoice proposal
- Project quotation

Service

- Case

Process

- Adjust transactions
- Revenue recognition**
- Accrue revenue

Post costs

- Post service orders
- Index subscription

Bill

- Project invoice proposals
- Invoice journals
- On-account transactions

Cost to complete method

- From cost template
- Total cost - actual
- Remaining budget
- As previous estimate
- Set cost to complete to zero
- Total forecast - actual
- Work progress percentage
- From cost template

Finance and Operations Preview | Project management and accounting > Projects > All projects

Navigation: < | Save | + New | Delete | Cost recognition | **Calculate** | Post | Reverse | Eliminate | Reverse elimination | Ledger | Options

Revenue recognition | 000389 : FP_CompC

Standard view * v

Filter | Include reversed | Period code: EstMonthly

Overview | General | Profit and loss | WIP | Consumption | Hour rate

Amount	Quantity	General
☐	☐	Cost line
☐	☐	Expense
☐	☐	Hour
☐	☐	Item

Transaction type	Cost to complete method	Cost to complete	Actual cost	Total cost	
Expense	Remaining budget	100.00	100.00	200.00	✓
Hour	Remaining budget	90.00	0.00	90.00	✓
Item	Remaining budget	24.00	24.00	48.00	✓

Revenue re...	Revenue status	Percentage complete	Recalculation	Revenue project	Description	Contract value	Accrued revenue	Total cost	Gross margin
5/31/2024	Created	36.69	✓	000389	FP_CompC	600.00	0.00	124.00	0.00

Remaining budget

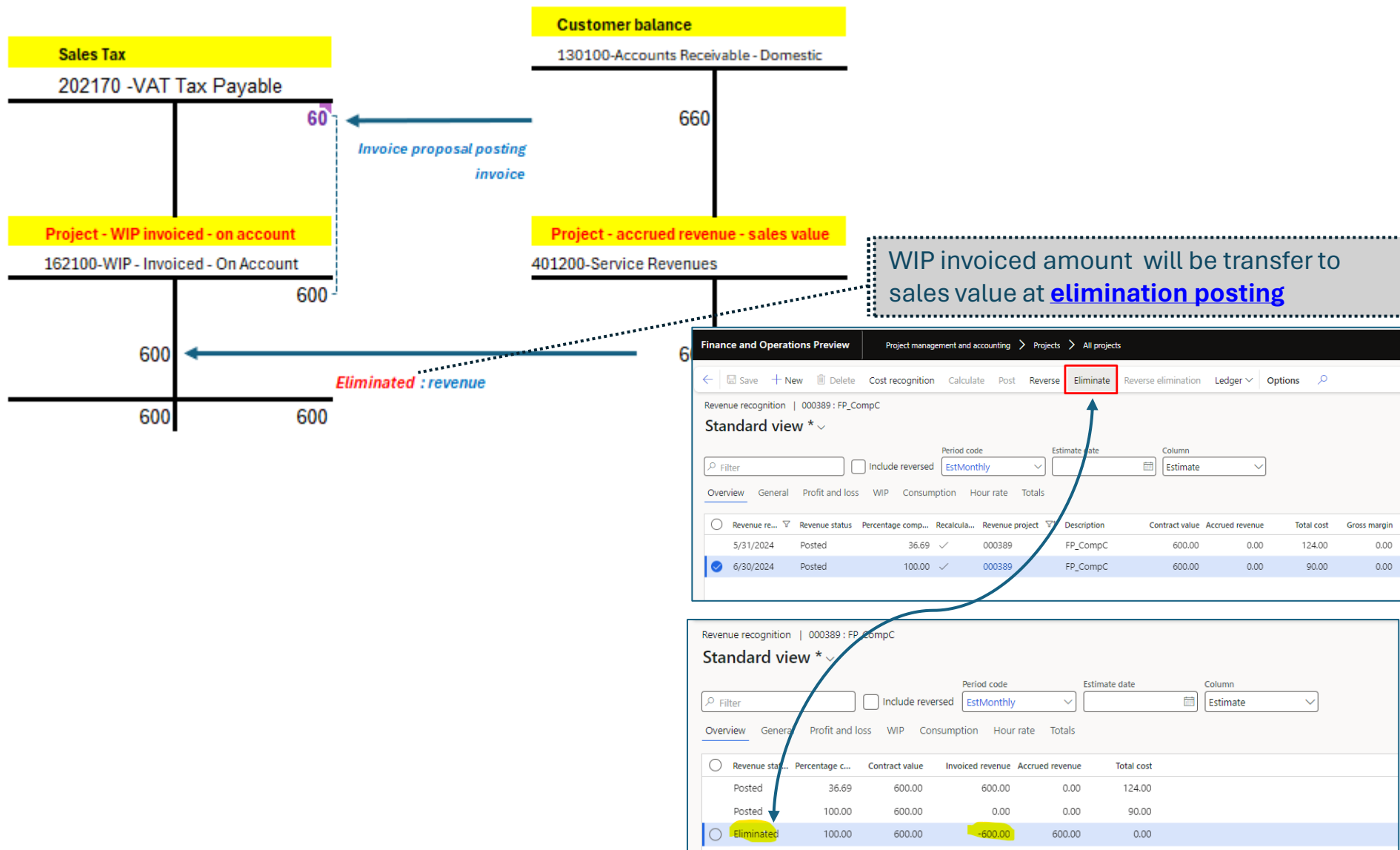
	Cost to complete	Actual	Total	PCT of complete	PCT BY PORTION
Item	24	24	48	50.00%	7.10%
Hour	90	0	90	0.00%	0.00%
Expense	100	100	200	50.00%	29.59%
			124		36.69%

Formulas:

- $\text{Remaining budget} = \text{Cost to complete} + \text{Actual}$
- $\text{PCT of complete} = \frac{\text{Total}}{\text{Actual}}$
- $\text{PCT BY PORTION} = \frac{\text{PCT of complete} * \text{Total}}{\text{Sum all amounts in Total column}}$

2. Fixed price project – Completed contract - WIP

On account invoicing – Invoice proposal posting



3. Fixed price project – Completed Pct - WIP

Ledger setup

Finance and Operations Preview

Project management and accounting > Projects > All projects

Standard view

Project groups

Project group: FP_CompP
Name: Fixed price - Percentage complet...

General

Project type: Fixed-price
Ledger posting search priority: Category
Line property search priority: Project

Ledger

Post costs - hour: Balance

Estimate

Revenue recognition accounting rule: Completed percentage

Accrual revenue and cost postings are recognized when users perform **revenue recognition**. This differs from the completed contract method, where revenue and costs are only recognized during the elimination posting.

Conditions to Eliminate Fixed Price Projects:

1. Percentage complete is 100%.
2. All billings are posted.

Total forecast - actual

Item
Hour
Expense

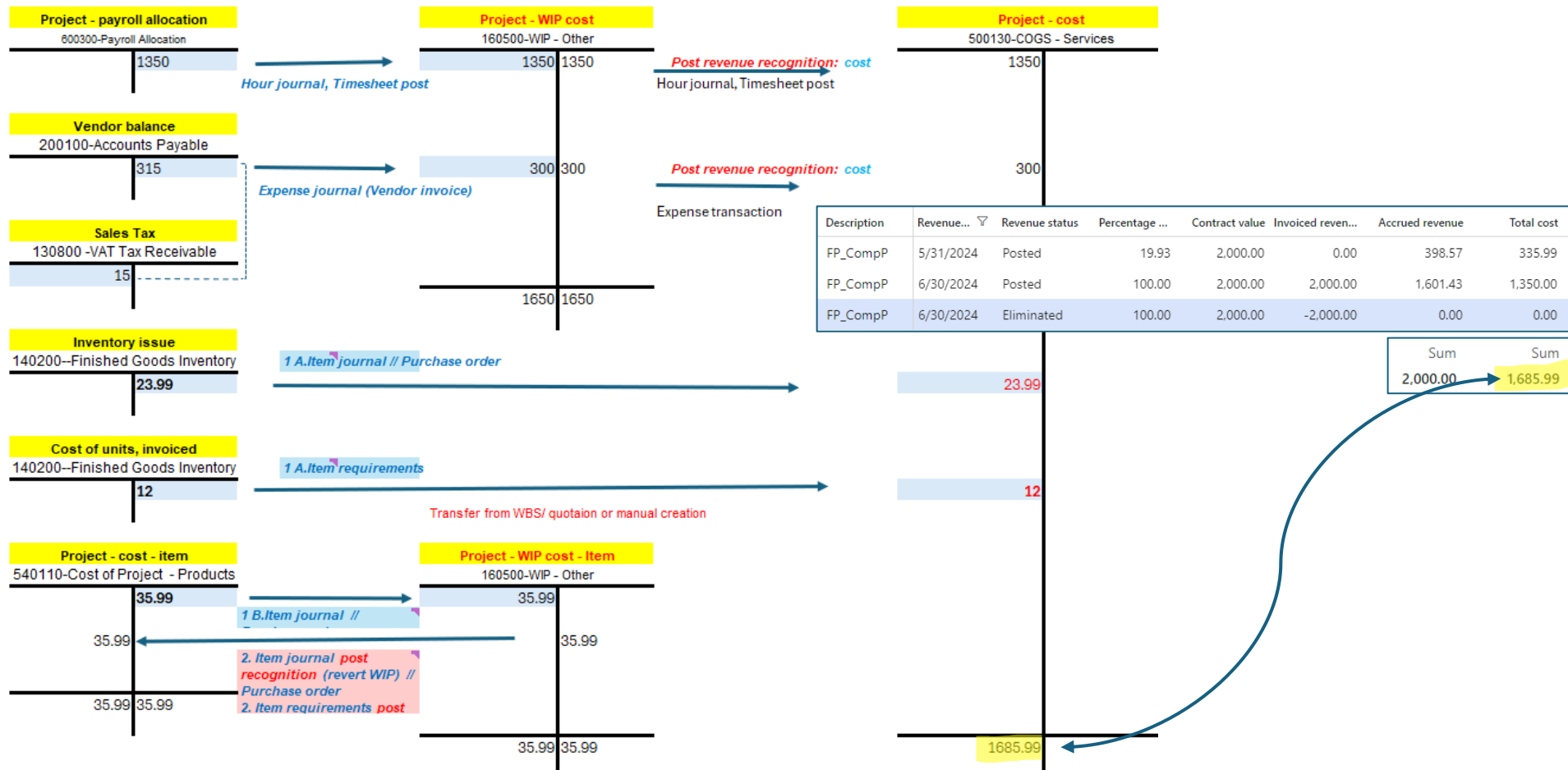
Cost to complete	Actual	Total	PCT of complete	PCT BY PORTION
0	35.99	35.99	100.00%	2.13%
1350	0	1350	0.00%	0.00%
0	300	300	100.00%	17.79%
PCT of complete		Σ PCT BY PORTION		19.93%
Contract value		*Contract billing rule		2000
Accrued revenue		= PCT of complete * Contract value		398.57
Total cost		Σ Total		335.99

Description	Revenue...	Revenue status	Percentage ...	Contract value	Invoiced reven...	Accrued revenue	Total cost	Gross margin
FP_CompP	5/31/2024	Posted	19.93	2,000.00	0.00	398.57	335.99	15.70
FP_CompP	6/30/2024	Posted	100.00	2,000.00	2,000.00	1,601.43	1,350.00	15.70
FP_CompP	6/30/2024	Eliminated	100.00	2,000.00	-2,000.00	0.00	0.00	0.00

EstMonthly

3. Fixed price project – Completed Pct - WIP

Cost posting



3. Fixed price project – Completed Pct - WIP

Revenue recognition

Project management and accounting > Projects > All projects > Manage tab > Revenue recognition

Finance and Operations Preview

Project management and accounting > Projects > All projects

← Save + New Delete

Cost recognition Calculate Post Reverse Eliminate Reverse elimination Ledger Options

Revenue recognition | 000392 : FP_CompP

Standard view

Filter

Include revenue

Overview General Profit and loss WIP Consumption Hour rate Totals

Cost line	Transaction type	Cost to complete method	Cost to complete	Actual cost	Total cost
Expense	Expense	Total forecast - actual	0.00	300.00	300.00 ✓
Hour	Hour	Total forecast - actual	1,350.00	0.00	1,350.00 ✓
Item	Item	Total forecast - actual	0.00	35.99	35.99 ✓

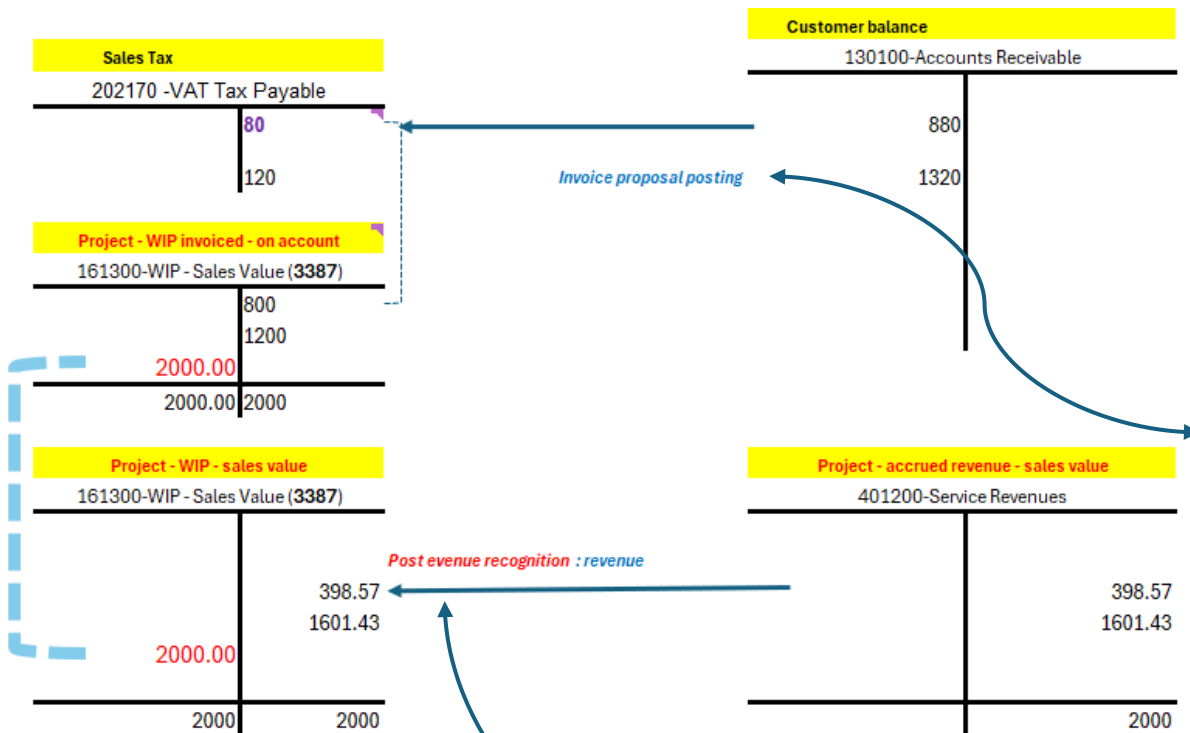
	Revenue re...	Revenu...	Percentage ...	Recalcula...	Revenue ...	Description	Contract value	Invoiced reven...	Accrued revenue	Total cost	Gross margin
5/31/2024	Posted	19.93	✓	000392	FP_CompP	2,000.00	0.00	398.57	335.99	15.70	

How are cost and revenue recognized?

Total forecast - actual		= Cost to complete + Actual		= Total / Actual		= PCT of complete * Total / (Sum all amounts in Total column)	
Item	Cost to complete	Actual	Total	PCT of complete	PCT BY PORTION		
Item	0	35.99	35.99	100.00%	2.13%		
Hour	1350	0	1350	0.00%	0.00%		
Expense	0	300	300	100.00%	17.79%		
		PCT of complete		Σ PCT BY PORTION		19.93%	
		Contract value		*Contract billing rule		2000	
		Accrued revenue		= PCT of complete * Contract value		398.57	
		Total cost		Σ Total		335.99	

3. Fixed price project – Completed Pct - WIP

On account invoicing – Invoice proposal posting



On-account | 000392 : FP_CompP

My view (1) * ∨

Filter

Column display

Price

Overview General Financial dimensions Sales

	Sales price	Sales currency	Invoice status
☐	800.00	USD	Fully invoiced
☒	1,200.00	USD	Fully invoiced

Finance and Operations Preview

Project management and accounting > Projects > All projects

<

Save

New

Delete

Cost recognition

Calculate

Post

Reverse

Eliminate

Reverse elimination

Ledger

Options

Revenue recognition | 000392 : FP_CompP

Standard view

Filter

☐ Include reversed

Period code
EstMonthly

Estimate date

Column
Estimate

Overview

General

Profit and loss

WIP

Consumption

Hour rate

Totals

	Revenue...	Revenue status	Percentage ...	Recalcula...	Revenue ...	Description	Contract value	Invoiced reven...	Accrued revenue	Total cost	Gross margin
5/31/2024	Posted	19.93	✓	000392	FP_CompP	2,000.00	0.00	398.57	335.99	15.70	
6/30/2024	Posted	100.00	✓	000392	FP_CompP	2,000.00	2,000.00	1,601.43	1,350.00	15.70	
6/30/2024	Eliminated	100.00	✓	000392	FP_CompP	2,000.00	-2,000.00	0.00	0.00	0.00	